

|   |                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|---|----------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|   |                                                                | <p>Here, the scope of the Arbitration Agreement is very broad and encompasses the claims asserted by Plaintiff against Defendant. In covering “all disputes, claims or disagreements arising from or relating to this Agreement, the employment relationship between the parties or the establishment or termination of the employment relationship that are not resolved via mutual agreement,” the Agreement covers Plaintiff’s claims against Defendant. (Fajardo Dec., ¶¶ 6-7 and Ex. E; Treasure Dec., at ¶ 4 and Ex. C.)</p> <p>Plaintiff did not oppose the motion and thus provides no basis to deny the motion to compel arbitration.</p> <p>Accordingly, the Motion to Compel Arbitration is granted, and the action stayed, pending the completion of arbitration. (Code Civ. Proc. § 1281.4.)</p> <p>An ADR Review Hearing is set for 9:00 a.m. on September 22, 2026, in Department N16.</p> <p>Defendant shall give notice of this ruling.</p>                                                                                                                                                                                                                     |
| 5 | <p>Activate Clean Energy, LLC<br/>vs. DMX Engineering, LLC</p> | <p><b>TENTATIVE RULING:</b></p> <p><b><u>Motion to Modify Order</u></b></p> <p>Plaintiffs/Cross-Defendants Activate Clean Energy, LLC, and Rasa Energy, Inc.; and Cross-Defendants David Martin, William Wismann, Robert Kendall, Anthony Buda, and Ernest Lee move to modify this court’s 07/02/2025 order granting foreign attorney Maggi L. Evert’s motion to appear pro hac vice, to reflect Attorney Saundra K. Wootton will be associated counsel of record. For the following reasons, the motion is CONTINUED to July 1, 2026, at 9:00 a.m. in this Department.</p> <p>No later than nine (9) court days before the continued hearing, Moving Parties shall file a supplemental brief addressing to what extent notice must be provided on the California State Bar prior to any modification of the order granting Attorney Ebert’s pro hac admission and/or whether the California State Bar requires a separate or renewed application for pro hac vice admission. (See Cal. Rules of Ct., Rule 9.40.)</p> <p>No later than five (5) court days before the continued hearing, Defendants may file any opposition or response.</p> <p>Moving party to give notice.</p> |

|   |                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|---|--------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 6 | Baljeu vs. Wheeler | <p><b>TENTATIVE RULING:</b></p> <p>For the reasons set forth below, the Court construes the “Motion to Dismiss” filed by Defendants Joe Philip, Michael McClare and Brandon Musslman, as a Motion for Judgment on the Pleadings, brought pursuant to Code of Civil Procedure section 438 and GRANTS the same, with respect to the Third, Sixth, Seventh and Eighth Causes of Action, with 30 days-leave to amend. The remainder of the motion is DENIED.</p> <p>While labelled a “Motion to Dismiss,” Defendants do not identify any statutory or common law authority, which supports requesting dismissal in the manner asserted herein; however, “a trial court may construe a motion bearing one label as a different type of motion” as “[t]he nature of a motion is determined by the nature of the relief sought, not by the label attached to it.” (<i>Austin v. Los Angeles Unified School Dist.</i> (2016) 244 Cal.App.4th 918, 930.)</p> <p>Moreover, “[a] motion to dismiss may be substituted for a demurrer as the first pleading.” (<i>Barragan v. Banco BCH</i> (1986) 188 Cal.App.3d 283, 299.) Where, as here, Defendants have already answered the complaint, it is more appropriate to construe the motion as a motion for judgment on the pleadings: A defendant may move for judgment on the pleadings, on the basis the complaint “does not state facts sufficient to constitute a cause of action against that defendant.” (Code Civ. Proc., § 438, subd. (c)(1)(B)(ii).) Such a motion may be brought after a defendant has already answered and the time for demurrer has expired. (Code Civ. Proc., § 438, subd. (f)(2).)</p> <p>“Lack of standing to sue is essential to a claim because it goes to the ‘existence of a cause of action.’” (<i>Anaheim Mobile Estates, LLC v. State of California</i> (2025) 113 Cal.App.5th 602, 614.)</p> <p>Having construed this as a motion for judgment on the pleadings, however, analysis must be limited to “the face of the challenged pleading or...any matter of which the court is required to take judicial notice.” (Code Civ. Proc., § 438, subd. (d).) Consequently, the Court must decline to consider all evidence submitted by the parties, for which judicial notice was neither sought nor granted. Similarly, Defendants’ evidentiary objections are MOOT. (See ROA No. 138.)</p> <p>Plaintiff’s unopposed Request for Judicial Notice (ROA No. 131) is GRANTED, pursuant to Evidence Code section 452, subdivision (c).</p> |
|---|--------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

|  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|--|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|  | <p>Within this motion, Defendants assert Plaintiff lacks standing to bring claims against them as Plaintiff is attempting to assert derivative claims on behalf of WSFS, Inc., without complying with Corporations Code section 800.</p> <p>“[A] derivative suit is one in which the shareholder seeks ‘redress of the wrong to the corporation.’” (<i>Bader v. Anderson</i> (2009) 179 Cal.App.4th 775, 793.) “Thus, an action is derivative, i.e., in the corporate right, if the gravamen of the complaint is injury to the corporation, or to the whole body of its stock and property without any severance or distribution among individual holders, or it seeks to recover assets for the corporation or to prevent the dissipation of its assets.” (<i>Ibid.</i> [internal quotations omitted].) “On the other hand, a direct individual suit by a stockholder ‘is a suit to enforce a[]right against the corporation which the stockholder possesses as an individual.’” (<i>Ibid.</i>) “A direct (as opposed to a derivative) action is maintainable ‘only if the damages [are] not <i>incidental</i> to an injury to the corporation.’” (<i>Ibid.</i>)</p> <p>A derivative action cannot be maintained unless “[t]he plaintiff alleges in the complaint with particularity plaintiff’s efforts to secure from the board such action as plaintiff desires, or the reasons for not making such effort, and alleges further that plaintiff has either informed the corporation or the board in writing of the ultimate facts of each cause of action against each defendant or delivered to the corporation or the board a true copy of the complaint which plaintiff proposes to file.” (Corp. Code, § 800, subd. (b)(2).)</p> <p>Following a review of the First Amended Complaint, the Court GRANTS the motion, with respect to the Third, Sixth, Seventh and Eighth causes of action, with 30 days leave to amend.</p> <p>Initially, while it appears undisputed Plaintiff asserted <i>direct</i> claims against Defendants Walter Wheeler and WSFS, Inc., the instant motion is brought solely on behalf of Defendants Joe Philip, Michael McClare and Brandon Musselman.</p> <p>While the Motion indicates an intent to challenge the Fourth Cause of Action, this request is denied, as the Fourth Cause of Action is asserted solely against Defendant Walter Wheeler, who is not a party to this motion. (See FAC [ROA No. 8].)</p> <p>As against the moving Defendants, the Complaint alleges the same “conspired to surreptitiously sequester, convert, and wrongfully transfer all of the assets of WSFS into Wheeler Steel without the knowledge and consent of Plaintiff.” (¶18 of FAC [ROA No. 8].) This</p> |
|--|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

allegation is repeated, within the Third Cause of Action (§42 of FAC), the Sixth Cause of Action (§60 of FAC) and the Seventh Cause of Action (§66-§67 of FAC) and consequently forms the gravamen of the claims against moving Defendants.

As noted by moving Defendants, the alleged damages are directed towards the corporation WSFS. (See *PacLink Communications Intern., Inc. v. Superior Court* (2001) 90 Cal.App.4th 958, 964 [“[T]he essence of plaintiffs’ claim is that the assets of PacLink-1 were fraudulently transferred without any compensation being paid to the LLC. This constitutes an injury to the company itself.”])

Plaintiff asserts his claims are *direct* arguing: “The gravamen of Plaintiff’s claims alleges injury to Plaintiff personally, not to WSFS, Inc. Plaintiff claims that Wheeler breached an oral contract to compensate Plaintiff for labor and investment...Plaintiff alleges that Wheeler failed to honor a personal contractual obligation to Plaintiff.” (Opposition: 5:23-28.)

Plaintiff does not, however, address the claims asserted against moving Defendants or otherwise establish a direct injury, attributed to these parties.

While the claims directed towards moving Defendants include references to “conspiracy,” to the extent Plaintiff intends to allege the moving Defendants are vicariously liable for the direct injuries caused by Wheeler and WSFS, Inc., any such intention has not been clearly communicated in the First Amended Complaint.

Indeed, the opposition suggests conspiracy *is not* the bases of the claims against moving Defendants, as Plaintiff asserts “[e]ach of the causes of action subject to the motion to dismiss is couched in terms of the individual defendant’s personal action....” (Opposition: 7:7-8.)

In opposing this motion, Plaintiff asserts he is unable to allege a derivative action, as he was “never made an officer, director, or issued stock in WSFS, Inc.” (Opposition: 3:19-20.)

Pursuant to Corporations Code section 800, a derivative action can only be maintained where “[t]he plaintiff alleges in the complaint that plaintiff was a shareholder, of record or beneficially, or the holder of voting trust certificates at the time of the transaction or any part thereof of which plaintiff complains....” (Corp. Code, § 800, subd. (b)(1).)

|   |                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
|---|---------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|   |                                       | <p>While Plaintiff asserts he was never issued formal stock, the Complaint alleges “Plaintiff was an investment owner of WSFS....” (§16 of FAC.)</p> <p>Regardless, however, the possible unavailability of a derivative action, does not cure the fundamental standing issue identified by Defendants: “Every action must be prosecuted in the name of the real party in interest, except as otherwise provided by statute.” (Code Civ. Proc., § 367.) Where, as here, the sole damage is alleged to have been inflicted on WSFS, Inc., WSFS, Inc. is the real party in interest.</p> <p>With respect to the Eighth Cause of Action, “[a]n action for an accounting has two elements: (1) ‘that a relationship exists between the plaintiff and defendant that requires an accounting’ and (2) ‘that some balance is due the plaintiff that can only be ascertained by an accounting.’” (<i>Sass v. Cohen</i> (2020) 10 Cal.5th 861, 869.)</p> <p>It remains the case that the sole basis for an accounting alleged against the moving Defendants is the alleged injury to WSFS, Inc., which Plaintiff lacks standing to pursue</p> <p>Based on all the above, the Motion for Judgment on the Pleadings is granted, as against the Third, Sixth, Seventh and Eighth Causes of Action; however, as Plaintiff’s intentions are unclear and as it’s possible Plaintiff can clarify and allege a <i>direct</i> injury, leave to amend is provided.</p> <p>Should Plaintiff desire to file an amended complaint that addresses the issues in this ruling, Plaintiff shall file and serve the amended complaint within 30 days of service of the notice of ruling.</p> <p>Moving Defendants to give notice.</p> |
| 7 | Camara vs. Irvine Sensors Corporation | <p><b>TENTATIVE RULING:</b></p> <p><b><u>Motion 1. Motion to Tax or Strike Costs</u></b></p> <p>Defendant Irvine Sensors Corporation moves to tax or strike costs claimed by Plaintiffs Betty Camara, David Hughes, Sharon Anderson, Daniel Berger, Daniel DeBlasio, Jr., Timothy Dicus, Anthony Mastrangelo, David Peter, Raul Ramirez, Grant Yamaguchi, and James Yamaguchi. For the following reasons, the motion is GRANTED.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |